

MARKET ANALYSIS

Can a \$63M Affordable Housing Deal Clear When the City Holds the Clock?

Beacon Communities' Newton project reveals the tension between tax-credit timing, municipal funding, and a 2027 purchase deadline.

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A source-grounded Light Tower Insight. The complete note follows.

The most revealing number in Beacon Communities' \$63 million Newton proposal is not the 72 income-restricted units or the \$4 million it is asking from the city's affordable housing trust. It is the 2027 purchase deadline. The developer signed a \$9.7 million purchase-and-sale agreement to acquire the site at 1314 Washington Street by September 2027. Construction is not expected to begin until 2028. That gap is not a timeline. It is a capital structure.

Beacon is betting that low-income housing tax credits, municipal subsidy, and streamlined permitting under the MBTA Communities Act will all converge before the option to buy expires. The developer is not building yet. It is buying time to assemble a capital stack that cannot be fully committed until the credits are awarded and the trust fund is allocated. The city's \$4 million request is not a construction subsidy. It is a signal that the project needs public capital to close a gap the private market will not fill.

The site itself is a second attempt. Mark Development proposed a 50-unit mixed-income project there in 2022. It never broke ground. That failure is not a footnote. It is a data point about the cost of delay in affordable housing development. The previous sponsor could not make the numbers work. Beacon is trying a different structure: more units, deeper income restrictions, and a longer runway to assemble the financing.

The MBTA Communities Act gives Beacon a procedural advantage. The project qualifies for streamlined permitting because of its proximity to the West Newton commuter rail station. That reduces entitlement risk and shortens the pre-development timeline. But permitting speed does not solve the capital problem. Tax credits are competitive. The city's affordable housing trust has finite resources. The developer is asking for both, and the order in which they arrive matters.

If the tax credits come first, the project has a foundation. If the trust fund allocation comes first, Beacon has a down payment on the equity gap. If neither arrives before September 2027, the purchase-and-sale agreement expires and the site goes back to the market. The developer is not just building housing. It is managing a sequence of conditional approvals, each one dependent on the

other.

The 25 parking spaces for 72 units is a separate tension. The project is transit-oriented by design, but the ratio is tight for a suburban infill site. If the city requires more parking, the site plan changes and the cost estimate shifts. If the cost estimate shifts, the tax-credit application changes. Every variable is connected, and every connection introduces delay.

For the city of Newton, the \$4 million request is a test of how much public subsidy is required to make transit-oriented affordable housing viable at current construction costs. The answer is not yet clear. The developer is asking for roughly 6 percent of the total project cost from the trust. That is not an unusual ask, but it is a meaningful one for a fund that serves multiple projects across the city.

For other developers watching this deal, the signal is about timing. The 2027 purchase deadline means Beacon is willing to carry the site for more than a year before breaking ground. That is a long pre-development period for a 72-unit project. It suggests that the developer expects the financing process to take longer than the construction process. The 22-month construction timeline is the easy part. The hard part is the two years before that.

The previous project on this site failed because the capital stack did not close. Beacon is trying a different approach: more units, more subsidy, and a longer fuse. The question is whether the market has changed enough to make this one work. Construction costs have not fallen. Interest rates have not come down. Tax-credit pricing has stabilized but not improved. The developer is betting that the MBTA Communities Act and a larger unit count will tip the math in its favor.

That bet is not yet proven. The project is in the proposal stage. The city has not approved the trust fund allocation. The tax credits have not been awarded. The purchase-and-sale agreement is signed but not closed. Beacon has bought an option, not a certainty. The next 14 months will determine whether the capital stack can be assembled before the option expires.

If it works, the project becomes a template for transit-oriented affordable housing in Massachusetts suburbs. If it does not, the site goes back to the market and the city learns that even streamlined

permitting cannot overcome the gap between construction costs and achievable rents. The market is not waiting for an answer. It is watching the sequence.

SOURCES

— Bisnow Boston —

<https://www.bisnow.com/boston/news/deal-sheet/beacon-communities-proposes-63m-newton-multifamily-project-the-boston-deal-sheet-135514>

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